



Family Allowances and National Insurance Act 1968

1968 CHAPTER 40

An Act to increase family allowances under the Family Allowances Act 1965 and make related adjustments of certain benefits under the National Insurance Act 1965 or the National Insurance (Industrial Injuries) Act 1965, and for connected purposes. [3rd July 1968]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) The allowances payable under the Family Allowances Act 1965, as amended by the Family Allowances and National Insurance Act 1967, for periods after the coming into force of this subsection shall be increased by three shillings, and accordingly in relation to any such period the said Act of 1965, as so amended, shall be further amended as follows—

Increase of family allowances and related amendments.
1965 c. 53.
1967 c. 90.

- (a) in section 1 (payment and amount of allowances) for the words from “an allowance” to the end there shall be substituted the words “an allowance in respect of each child in the family other than the elder or eldest at the rate of eighteen shillings a week in respect of the first child other than the elder or eldest and twenty shillings a week in respect of each other such child”;
- (b) in section 3(2) and in the proviso to paragraph 1(1) of the Schedule (minimum weekly contribution required from a person towards the maintenance of a child not living with him if the child is to be included in a family as being his issue or maintained by him) for the words “fifteen shillings a week” there shall be substituted the words “eighteen shillings a week”;

1967 c. 90. and section 1(1) of the Family Allowances and National Insurance Act 1967 is hereby repealed.

1965 c. 51. (2) The following rates of benefit provided by Schedule 3 to the National Insurance Act 1965, as amended by the Family Allowances and National Insurance Act 1967, namely those specified in column 4 (increases for second qualifying child) and those specified in column 5 (increases for each additional qualifying child), shall each be decreased by three shillings; and accordingly—

(a) for the provisions of that Schedule as set out in Schedule 1 to the Family Allowances and National Insurance Act 1967 there shall be substituted the provisions set out in Schedule 1 to this Act; and

(b) in the said Act of 1967, section 1(2) and Part I of Schedule 1 are hereby repealed.

1965 c. 52. (3) In the provisions of Schedule 3 to the National Insurance (Industrial Injuries) Act 1965, as set out in Schedule 6 to the National Insurance Act 1967, there shall be made in paragraphs 7 and 11 (as amended by the Family Allowances and National Insurance Act 1967) the further amendments provided for by Schedule 2 to this Act (being amendments decreasing certain rates of benefit payable in respect of children); and accordingly, in the Family Allowances and National Insurance Act 1967, section 1(3) and Part I of Schedule 2 are hereby repealed.

1965 c. 53. (4) Section 114(2)(c) of the National Insurance Act 1965 and section 86(2)(c) of the National Insurance (Industrial Injuries) Act 1965 (under which references in those Acts to a person having a family which includes a child or children or to a child of a person's family are to be construed by reference to the operation of the Family Allowances Act 1965) shall have effect by reference to the operation of the Family Allowances Act 1965 as amended by subsection (1)(b) above.

Expenses. 2.—(1) There shall be paid out of moneys provided by Parliament any increase attributable to the provisions of this Act in the sums payable out of such moneys under the Family Allowances Act 1965.

(2) Subject to the provision made by section 85 of the National Insurance Act 1965 for reimbursement out of the National Insurance Fund or by section 61 of the National Insurance (Industrial Injuries) Act 1965 for reimbursement out of the Industrial Injuries Fund, there shall be paid out of moneys provided by Parliament any increase attributable to this Act in the expenses of the Minister of Social Security or any other government department which are so payable under either of those sections.

3.—(1) This Act may be cited as the Family Allowances and National Insurance Act 1968, and—

Citation,
construction,
commence-
ment and
transitory
provisions.

(a) the Family Allowances Acts 1965 and 1967 and this Act may be cited together as the Family Allowances Acts 1965 to 1968;

(b) the National Insurance Acts 1965 to 1967 and this Act may be cited together as the National Insurance Acts 1965 to 1968; and

(c) the National Insurance (Industrial Injuries) Acts 1965 to 1967 and this Act may be cited together as the National Insurance (Industrial Injuries) Acts 1965 to 1968.

(2) This Act—

(a) in relation to allowances under the Family Allowances Act 1965 shall be construed as one with that Act; 1965 c. 53.

(b) in relation to benefit under the National Insurance Act 1965 shall be construed as one with that Act; 1965 c. 51.

(c) in relation to benefit under the National Insurance (Industrial Injuries) Act 1965 shall be construed as one with that Act. 1965 c. 52.

(3) Schedule 3 to this Act shall have effect with respect to the commencement of section 1 of this Act and with respect to the transitory matters dealt with in that Schedule.

Section 1.

SCHEDULES

SCHEDULE 1

PROVISIONS TO BE SUBSTITUTED IN SCHEDULE 3 OF NATIONAL INSURANCE
ACT 1965

RATES OF PERIODICAL BENEFITS AND OF INCREASES FOR DEPENDANTS

1	2	3	4	5	6
Description of Benefit	Weekly rate	Increase for only, elder or eldest quali- fying child	Increase for second quali- fying child	Increase for each additional quali- fying child	Increase for adult dependant (where payable)
	£ s. d.	£ s. d.	£ s. d.	£ s. d.	£ s. d.
1. Unemployment or sick- ness benefit under s. 19(2)—					
(a) in the case of a person over the age of 18, not being a married woman ...	4 10 0	1 8 0	10 0	8 0	2 16 0
(b) in the case of a person under the age of 18, not being a married woman—					
(i) during any period during which that person is entitled to an increase of benefit in respect of a child or adult dependant ...	4 10 0	1 8 0	10 0	8 0	2 16 0
(ii) during any other period ...	2 10 0	—	—	—	—
(c) in the case of a married woman over the age of 18—					
(i) during any period during which she is en- titled to an in- crease of benefit in respect of her husband, or dur- ing which she is not residing with her husband nor is he contributing to her mainten- ance at not less than the relevant rate ...	4 10 0	1 8 0	10 0	8 0	2 16 0
(ii) during any other period ...	3 2 0	1 8 0	10 0	8 0	2 16 0
(d) in the case of a married woman under the age of 18—					
(i) during any period during					

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1	2	3	4	5	6
Description of Benefit	Weekly rate	Increase for only, elder or eldest quali- fying child	Increase for second quali- fying child	Increase for each additional quali- fying child	Increase for adult dependant (where payable)
	£ s. d.	£ s. d.	£ s. d.	£ s. d.	£ s. d.
1. Unemployment or sick- ness benefit under s. 19(2) — <i>cont.</i>					
which she is en- titled to an in- crease of benefit in respect of her husband, or dur- ing which she is entitled to an in- crease of benefit in respect of a child or an adult dependant other than her husband and she is not residing with her husband nor is he contributing to her maintenance at not less than the relevant rate	4 10 0	1 8 0	10 0	8 0	2 16 0
(ii) during any other period during which she is en- titled to an in- crease of benefit in respect of a child or adult dependant ...	3 2 0	1 8 0	10 0	8 0	2 16 0
(iii) during any other period ...	2 10 0	—	—	—	—
2. Unemployment or sickness benefit at a weekly rate determined under s. 19(3)	—	1 8 0	10 0	8 0	2 16 0
3. Maternity allowance ...	4 10 0	1 8 0	10 0	8 0	2 16 0
4. Widow's allowance ...	6 7 0	2 5 6	1 7 6	1 5 6	—
5. Widowed mother's allow- ance	4 10 0	2 5 6	1 7 6	1 5 6	—
6. Widow's pension ...	4 10 0	—	—	—	—
7. Guardian's allowance ...	2 5 6	—	—	—	—
8. Retirement pension—					
(a) where the pension is payable to a woman by virtue of her hus- band's insurance and he is alive	2 16 0	1 8 0	10 0	8 0	—
(b) in any other case ...	4 10 0	1 8 0	10 0	8 0	2 16 0
9. Child's special allowance	2 5 6	—	1 7 6	1 5 6	—

SCH. 1 1. In paragraphs 1(c)(i) and 1(d)(i) of this Schedule "the relevant rate" means a weekly rate equal to the difference under this Schedule between the rates of benefit applying if the husband is, and if he is not, contributing to the wife's maintenance at not less than the relevant rate.

2. In paragraph 2 of this Schedule, column 6 shall have effect subject to section 43(3)(b) of this Act.

Section 1.

SCHEDULE 2

AMENDMENTS OF SCHEDULE 3 TO NATIONAL INSURANCE (INDUSTRIAL INJURIES) ACT 1965

1965 c. 52.
1967 c. 73.
1967 c. 90.

1. In Schedule 3 to the National Insurance (Industrial Injuries) Act 1965, as set out in Schedule 6 to the National Insurance Act 1967, in paragraph 7 (under which, as amended by the Family Allowances and National Insurance Act 1967, the weekly amount of increases in respect of children in industrial injury benefit or a disablement pension is £1 8s. for the first, 13s. for the second and 11s. for any other child) there shall be substituted for the entries in column 2—

" (a) in respect of only, elder or eldest child of beneficiary's family		£1 8s.
(b) in respect of second child of beneficiary's family...		10s.
(c) in respect of each additional child of beneficiary's family		8s."

2. In that Schedule, as so set out, in paragraph 11, in sub-paragraph (a) (under which, as so amended, the ordinary weekly rate of death benefit in respect of children of the deceased's family is £1 8s. for the first, 13s. for the second and 11s. for any other child) there shall be substituted for the entries in column 2—

" (i) in respect of only, elder or eldest qualifying child	£1 8s.
(ii) in respect of second qualifying child	10s.
(iii) in respect of each additional qualifying child ...	8s."

Section 3.

SCHEDULE 3

COMMENCEMENT AND TRANSITORY PROVISIONS

Commencement of section 1

1.—(1) The provisions of section 1 of this Act shall not come into force until such date as the Minister of Social Security may by order appoint.

(2) Different days may be appointed under this paragraph for different purposes of section 1 or for the same purposes in relation to different cases or classes of case; and if that is done then—

(a) an order under this paragraph may contain such incidental or supplemental provisions as appear to the Minister to be necessary or expedient as respects the period or any part of

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the period when the provisions contained in section 1 and in Schedules 1 and 2 to this Act are to have a partial operation only, and, in particular, may contain provisions modifying and supplementing, in relation to the period to which the order is to apply, the provisions so contained or those of any previous Act relating to national insurance; and

- (b) any provision made in pursuance of paragraph (a) above may be varied or revoked by a subsequent order of the Minister.

(3) Section 107(4) of the National Insurance Act 1965 (which provides for orders under that Act to be subject to annulment in pursuance of a resolution of either House of Parliament) shall not apply to any order under this paragraph, but a statutory instrument containing any such order shall be laid before Parliament after being made. 1965 c. 51.

Awards made before changes in rates take effect

2.—(1) As from the date on which section 1(1) of this Act comes into force any allowance under the Family Allowances Act 1965 awarded before that date shall, subject to any prescribed exceptions or conditions, become payable at the rate provided for by this Act, and the award shall have effect accordingly. 1965 c. 53.

(2) Accordingly any award of such an allowance made before that date (but after that date is appointed) either may provide for the allowance to be paid as from that date at the rate provided for by this Act or may be expressed in terms of the rates appropriate at the date of the award.

3.—(1) Where the weekly rate of any benefit is decreased by this Act, and before the date when the decrease takes effect (in this paragraph referred to as “the relevant date”) an award of that benefit has been made whether before or after the passing of this Act, then subject to such exceptions or conditions as may be prescribed the benefit shall, except as respects any period falling before the relevant date, become payable at the rate appropriate under or by virtue of this Act without any review of the award, and the award shall have effect accordingly.

(2) Where the weekly rate of any benefit is decreased by this Act, and before the relevant date (but after the date is appointed) an award is made of the benefit, the award either may provide for the benefit to be paid as from the relevant date at the rate appropriate under or by virtue of this Act or may be expressed in terms of the rates appropriate at the date of the award.

Set-off of overpayments of benefit

4. Where a beneficiary receives in respect of any persons as being, or as falling to be treated as, children of his family an amount of benefit which by reason of section 1 of this Act is not properly payable, but would have been properly payable according to the rates in force at the passing of this Act or at that of the Family Allowances and National Insurance Act 1967, and he receives it for a period for which there are payable to him or anyone else in respect of those 1967 c. 90.

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1965 c. 53.

persons or any of them allowances under the Family Allowances Act 1965 at a rate which would not have been payable but for this Act, then the amount of benefit overpaid and not required to be repaid shall be treated as having been properly paid up to the amount of any arrears of allowances payable under the Family Allowances Act 1965 for that period in respect of those persons, and any such arrears shall be correspondingly reduced or withheld.

Calculation of contributions to cost of providing for child

5. Where for any purpose of the provisions amended by section 1(1)(b) of this Act the weekly rate at which a person contributes to the cost of providing for a child is to be calculated for a period after section 1(1)(b) applies, but account is taken of amounts referable to the period before it applies, then those amounts shall be treated as increased in proportion to the increase effected by section 1(1)(b) in the required rate of contributions.

Continuation of previous rates of benefit in special cases

6. As regards benefit of which any weekly rate is reduced by this Act, the Minister of Social Security may by regulations make provision, either generally or for particular cases or classes of case, for excluding the reduction in whole or in part where—

- (a) immediately before the reduction takes effect a person is entitled to any such benefit in respect of any children; and
- (b) during any period during which he continues without a break to be entitled to benefit (whether the same benefit or another) in respect of those children or any of them the aggregate weekly rate of the benefit to which he is entitled in respect of those children and of the allowances payable in respect of them under the Family Allowances Act 1965 is less than it would have been according to the rates in force at the passing of this Act.

Regulations

1965 c. 51.
1965 c. 52.

7. Section 108 of the National Insurance Act 1965 and section 62(2) of the National Insurance (Industrial Injuries) Act 1965 (which require a draft of proposals for regulations under the Act to be submitted to the National Insurance Advisory Committee or Industrial Injuries Advisory Council, as the case may be) shall not apply to any regulations (whether made under this Schedule or not) if they are contained in a statutory instrument made before the expiration of the six months beginning with the date of the passing of this Act and the instrument states that it is made in consequence of the passing of this Act.

Interpretation

8. In this Schedule “benefit” means benefit under the National Insurance Act 1965 or the National Insurance (Industrial Injuries) Act 1965, and “beneficiary” has a corresponding meaning.